and the computer can evaluate positions. Computers have gotten better and better at it. In the early 1960s I played chess on a very large computer at Northwestern University, and I usually beat the machine. It wasn't on its optimal setting, but neither was I. Today, there are a number of $39.95 chess programs that are much better than I am.

The stock market is different from chess. The number of rules of the game is not known, and some of the rules change over time. There are seemingly random elements in the game, such as a war in the Mideast or a drought in the Midwest, which are impossible to predict. It would be a lot more difficult to write a chess program if sometimes the chessboard had sixty-four squares and the next thing you knew it had eighty-one. If the number of squares changed randomly over time, it would add to the complexity. If a system is open enough, you may have something that is not formally solvable on a computer.

There is no clear upside limit for computer investing, but the message of the chess metaphor is valid: investors proceed by heuristic rules (buy small company stocks, buy low-price-to-earnings-ratio stocks, buy companies with growing earnings), and the best investors will be those whose heuristics match the real world.

## When to Let Go

In almost every press interview, I'm asked, "What are your sell criteria?" I say I have two: the too-early system and the too-late system. And both work with about equal inexactitude.